



CHAPTER ix.

An Act for enabling Harrod's Stores Limited to re-arrange its capital and to provide for the extinction of its founders' shares and for issuing fully paid ordinary shares in lieu thereof and for altering the memorandum and articles of association of the Company and to increase its capital and for enabling Harrod's Stores Founders' Shares Company Limited to pay to its directors compensation for loss of office as directors of that company and for other purposes.

A.D. 1918.

[27th June 1918.]

WHEREAS Harrod's Stores Limited (in this Act called "the Company") was incorporated in the year 1889 under the provisions of the Companies Act 1862 as a company limited by shares:

And whereas the capital of the Company is one million eight hundred and one thousand four hundred pounds divided into one hundred thousand five per cent. cumulative preference shares of five pounds each seven hundred thousand five per cent. cumulative preference shares of one pound each six hundred thousand ordinary shares of one pound each and one thousand four hundred founders' shares of one pound each all of which have been issued and are fully paid:

And whereas the whole of the founders' shares of the Company are now registered in the name of or are the property of Harrod's Stores Founders' Shares Company Limited (in this Act called "the founders' company"):

And whereas the respective rights of the holders of the ordinary and founders' shares of the Company were originally

[Price 9d.]

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A.D. 1918. defined in the memorandum of association of the Company to be as follows:—

“(7) The rights of the members subject to any alterations made under the powers given to meetings by the articles of association shall be as follows:—

“(A) The net profits of the Company shall subject to subsection (F) be applied in the manner provided by subsections (B) (C) (D) (E) and (F) hereof:

“(B) There shall be paid out of the net profits of the Company for each year to the holders of the ordinary shares a non-cumulative dividend for the year at the rate of eight per cent. on the amount paid up thereon for the time being:

“(C) Of the surplus net profits of the Company remaining after payment of the dividends provided for by subsection (B) ten per cent. shall be carried to a reserve fund and of the remainder one moiety shall belong to the holders of founders' shares and the residue shall belong to the holders of ordinary shares:

“(D) All net profits divisible amongst the holders of the founders' shares and ordinary shares respectively under the foregoing subsections shall be divided amongst the holders of each such class of shares pro rata according to the number of shares held and the amount paid up thereon for the time being:

“(E) In the event of the Company being wound up the surplus assets remaining after the return of the whole of the paid-up capital shall belong as to one half to the holders of the ordinary shares and as to the balance to the holders of the founders' shares and be divisible as between the several holders of each class of shares according to the amounts paid up thereon:

“(F) Any new shares from time to time to be created may from time to time be issued with any such right of preference whether in respect of dividend or of repayment of capital or both or any such other special privilege or advantage over any

shares previously issued or to be issued and at any price or with such deferred rights as compared with any shares previously issued or to be issued or subject to any other special conditions and with any special right or without any right of voting and generally on such terms as the Company may from time to time by resolution in general meeting determine provided that except with the consent of a meeting of holders of founders' shares under the provisions of the articles of association no new shares (other than ordinary shares ranking equally with the original ordinary shares) shall be issued with any preference or priority over the founders' shares unless they have the same preference or priority over the ordinary shares":

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And whereas Article 84 of the articles of association of the Company is as follows:—

"The holders of any class of shares may by a resolution passed by a majority of not less than three-fourths of the holders for the time being entitled to vote in respect of shares of the class present in person or by proxy at any meeting of such holders of which notice specifying the intention to propose such resolution has been duly given consent on behalf of all the holders of shares of the class to the issue or creation of any shares ranking equally therewith or having any priority thereto or to the abandonment of any accrued dividend or of any preference or priority or the reduction for any time or permanently of the dividends payable thereon or to any scheme for the reduction of capital affecting prejudicially the class of shares and a resolution so passed shall be binding upon all the holders of shares of the class provided that this article shall not be read as implying the necessity for such consent in any case in which but for this article the object of the resolution could have been effected without it":

And whereas at a meeting of the holders of the founders' shares of the Company duly convened and held on the twenty-eighth day of February one thousand nine hundred and thirteen on the occasion of the increase of the ordinary shares of the Company from five hundred thousand to six hundred thousand by a majority of not less than three-fourths of the holders for

A.D. 1918. — the time being entitled to vote in respect of such founders' shares present in person or by proxy of which notice specifying the intention to propose such resolution had been duly given it was resolved that the surplus net profits of the Company of each year which should remain after paying the eight per cent. dividend on the ordinary shares as provided by paragraph (B) of clause 7 of the memorandum of association of the Company should be carried as to ten per cent. thereof to the reserve fund specified in paragraph (c) of the same clause and that of the remainder one moiety (after deducting therefrom the sum of five thousand pounds and such further sum if any not exceeding five thousand pounds as should remain after providing for the payment to the holders of the founders' shares of dividends for the year to the amount of eighty-one thousand four hundred and ninety-six pounds) should belong to the holders of the founders' shares and the residue or other moiety thereof (plus the sum of five thousand pounds and the further sum (if any) to be deducted as aforesaid) should belong to the holders of ordinary shares of the Company and be dealt with in accordance with the memorandum of association of the Company:

And whereas the resolution passed at the last-mentioned meeting had previously been consented to by a resolution passed at a general meeting of the founders' company duly convened and held on the twenty-eighth day of February one thousand nine hundred and thirteen by a majority of not less than three fourths of the members of the founders' company present thereat personally or by proxy as required by the provisions of the articles of association of the founders' company:

And whereas by a resolution passed at a meeting of the holders of the ordinary shares of the Company duly convened and held on the fifth day of September one thousand nine hundred and seventeen by a majority of not less than three-fourths of the holders for the time being entitled to vote in respect of such ordinary shares present in person or by proxy at such meeting of which notice specifying the intention to propose such resolution had been duly given the holders of such ordinary shares consented on behalf of all the holders of such ordinary shares to their rights as to dividends and capital being altered as set forth in this Act:

And whereas by a resolution passed at a meeting of the holders of the founders' shares of the Company duly convened and held on the fifth day of September one thousand nine

hundred and seventeen by a majority of not less than three-fourths of the holders for the time being entitled to vote in respect of such founders' shares present in person or by proxy at such meeting of which notice specifying the intention to propose such resolution had been duly given the holders of such founders' shares consented on behalf of all the holders of such founders' shares to their rights as to dividends and capital being altered as set forth in this Act: A.D. 1918.

And whereas the resolution passed at the last-mentioned meeting had previously been consented to by a resolution passed at a general meeting of the founders' company by a majority of not less than three-fourths of the members of the founders' company present thereat personally or by proxy as required by the provisions of the articles of association of the founders' company:

And whereas the Company is desirous and it is expedient that the rights of the holders of the founders' shares and the rights of the holders of the ordinary shares of the Company inter se should be modified or varied from those conferred by the memorandum of association of the Company in manner hereinafter provided:

And whereas it is expedient that the founders' shares of the Company should be extinguished and that the Company should be authorised to issue to the founders' company in lieu thereof three hundred and fifty thousand new ordinary shares of the Company credited as fully paid as hereinafter provided:

And whereas it is expedient that power should be conferred upon the founders' company to compensate its directors for loss of office in manner hereinafter provided:

And whereas the objects of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

1. This Act may be cited as *Harrod's Stores Limited Act* Short title. 1918.

A.D. 1918.

Alterations
of memo-
randum and
articles of
association.

Statement of
capita. of
Company as
altered.

Extinguish-
ment of
founders'
shares.

Increase of
capital of
Company.

2. From and after the passing of this Act—

- (1) Clauses 5 and 7 of the memorandum of association of the Company and any alterations heretofore made therein shall be and the same are hereby cancelled and annulled and all references in the articles of association of the Company to the founders' shares of the Company shall be and the same are hereby cancelled and annulled and the memorandum and articles of association of the Company are hereby amended so as to conform with the provisions of this Act:
- (2) The capital of the Company (apart from the three hundred and fifty thousand new ordinary shares hereinafter mentioned) shall be one million eight hundred thousand pounds divided into one hundred thousand five per cent. cumulative preference shares of five pounds each seven hundred thousand five per cent. cumulative preference shares of one pound each and six hundred thousand ordinary shares of one pound each. Provided always that the Company may from time to time increase or reduce the capital of the Company in manner provided by the Companies (Consolidation) Act 1908 and the regulations for the time being of the Company:
- (3) The founders' shares of the Company and all rights and privileges in respect thereof shall be and the same are hereby extinguished and the founders' company as the holder or proprietor of such shares shall forthwith after the passing of this Act surrender to the Company for cancellation the certificates for the founders' shares of the Company held by it:
- (4) The capital of the Company shall be increased by the creation and issue of three hundred and fifty thousand new ordinary shares of one pound each and the sum of one pound shall be deemed to have been paid up on each of such ordinary shares and the Company shall upon the surrender of certificates as aforesaid allot to the founders' company or as it shall direct such new ordinary shares and issue to it or as it shall direct a certificate or certificates for such new ordinary shares:

- (5) Such new ordinary shares and the existing six hundred thousand ordinary shares shall form one class and shall rank *pari passu* as regards dividends voting and in all other respects but the holders of such new ordinary shares shall not be entitled to participate in any dividend declared in respect of the year ending the thirty-first day of January one thousand nine hundred and eighteen: A.D. 1918.
Rights of new ordinary shares.
- (6) The sum of thirty-four thousand three hundred and twenty-nine pounds sixteen shillings and tenpence standing to the credit of the holders of the ordinary shares of the Company in the books of the Company on the thirty-first day of January one thousand nine hundred and seventeen and the sum of twelve thousand pounds standing to the credit of the holders of the founders' shares of the Company in the books of the Company on the same date shall be carried to the general reserve fund of the Company: Reserve fund of Company.
- (7) Any new shares from time to time to be created by the Company (not forming part of the three hundred and fifty thousand new ordinary shares of the Company by this Act directed to be issued in lieu of the founders' shares of the Company) may from time to time be issued with any such right of preference whether in respect of dividend or of repayment of capital or both or any such other special privilege or advantage over any shares previously issued or to be issued and at any price or with such deferred rights as compared with any shares previously issued or to be issued or subject to any other special conditions and with any special right or without any right of voting and generally on such terms as the Company may from time to time by resolution in general meeting determine: Right of Company to issue new preference shares.
- (8) The articles of association of the Company shall be deemed to be altered so as to contain the following new articles to be numbered 14A and 129A respectively namely:— Alteration of articles of association.
- “14A. The Company shall be at liberty to issue certificates under the seal of the Company and signed by two directors and countersigned by the secretary or some other person appointed by the

A.D. 1918.

directors representing the right of the holders thereof to fractions of shares of the Company."

"129A. The directors shall before recommending any dividend other than the dividend on the existing preference shares carry to reserve ten per cent. of the balance of the profits of the Company for each financial year after providing thereout an amount sufficient to pay the cumulative dividend payable on the existing preference shares inclusive of any arrears thereof or such other larger or smaller sum as may at any time and from time to time be prescribed by an extraordinary resolution of the Company in general meeting."

Founders' company authorised to hold new fully paid ordinary shares of Company.

3. The founder's company is hereby expressly authorised to accept and hold the said three hundred and fifty thousand fully paid new ordinary shares to be issued under this Act in substitution for the one thousand four hundred founders' shares of the Company now held by the founders' company.

References in executed instruments to be construed to refer to new fully paid ordinary shares of Company.

4. From and after the passing of this Act in any instrument executed before the passing of this Act references to the founders' shares of the company shall be construed as references to the new fully paid ordinary shares of the Company to be issued in substitution for the same as aforesaid.

New fully paid ordinary shares to be held on same terms and provisions as founders' shares.

5. The new fully paid ordinary shares substituted as aforesaid shall be held by the founders' company upon the same terms and subject to the same provisions as those upon which that company held the founders' shares of the Company in substitution for which such new ordinary shares are issued and every deed or other instrument of or affecting such founders' shares shall take effect with reference to the whole or a proportionate part thereof as the case may be.

Saving for validity of prior acts by or proceedings against Company.

6. Save as in this Act expressly provided nothing in this Act shall prejudice alter or affect the memorandum or articles of association of the Company or shall be deemed to render valid or invalid any act deed or proceeding pending by or against the Company before or at the passing of this Act.

Distribution of profits of Company for year ended 31st January 1918.

7. The profits of the Company for the year ended the thirty-first day of January one thousand nine hundred and eighteen applicable for the payment of dividends after payment of working expenses interest on deposits and making such provision

for depreciation and sinking funds as the directors of the Company shall think fit and after paying the dividend on the existing preference shares of the Company shall be distributed amongst the holders of the ordinary shares and the holders of the founders' shares in accordance with the provisions of clause 5 of the original memorandum of association as modified by the said resolutions of the twenty-eighth day of February one thousand nine hundred and thirteen on the basis that the holders of the founders' shares of the Company shall be entitled to have distributed among them the whole of the portion of such profits as on the basis of such provisions are attributable to the holders of the founders' shares but that the holders of the ordinary shares of the Company shall be entitled only to have distributed among them such portion only as the directors of the Company shall think fit so to distribute and the undistributed balance thereof shall be carried forward to the credit of the general profit and loss account of the Company.

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8. Nothing in this Act shall prejudice alter or affect the rights of the holders of the existing preference shares of the Company.

Saving rights of existing preference shares.

9. Nothing herein contained shall affect the right of the Company from time to time to alter its articles of association for the time being (including the articles of association introduced by this Act) by special resolution passed and confirmed by the Company in general meeting.

Saving rights of Company to alter its articles of association.

10. The founders' company is hereby expressly authorised on the liquidation thereof to pay to its directors as compensation for loss of office as directors of that company such sum not exceeding the sum of one thousand five hundred and seventy-five pounds as that company may by resolution of a general meeting (passed before or after liquidation) determine.

Compensation to directors of founders' company for loss of office.

11. The statement of the amount of the increase of capital authorised by this Act which is required by section 112 of the Stamp Act 1891 to be delivered to the Registrar of Joint Stock Companies shall be delivered duly stamped with the duty charged thereon within one month after the passing of this Act and in default of such delivery the duty with interest thereon at the rate of five per centum per annum from the passing of this Act shall be a debt to His Majesty recoverable from the Company.

Stamp duty.

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Copies of
Act to be
registered.

12. The Company and the founders' company shall each deliver to the Registrar of Joint Stock Companies a printed copy of this Act and he shall retain and register the same in connexion with the Company and the founders' company respectively and if the Company or the founders' company shall fail to deliver such copy within three months from the passing of this Act the Company or (as the case may be) the founders' company shall incur a penalty not exceeding two pounds for every day after the expiration of those three months during which the default continues and any director or manager of the Company or of the founders' company who knowingly and wilfully authorises such default shall incur the like penalty. Every penalty under this Act shall be recoverable summarily.

Fees payable
on registra-
tion.

There shall be paid to the said registrar by the Company and by the founders' company on such respective copies being registered the like fees as are for the time being payable under the Companies (Consolidation) Act 1908 on registration of any document other than a memorandum of association.

Copies of
this Act to
be annexed
to memor-
andum and
articles of
association
of Company
and of
founders'
company.

13. To every copy of the memorandum and articles of association of the Company or of the founders' company supplied after the passing of this Act to any member of the Company or of the founders' company respectively under the provisions of section 18 of the Companies (Consolidation) Act 1908 there shall be annexed a copy of this Act which for the purposes of that section shall be treated as part of the memorandum and articles of association of the Company or (as the case may be) of the founders' company.

Consent of
Treasury to
issue of addi-
tional capi-
tal.

14. The Company shall not under the powers of this Act create or issue any capital during the continuance of the present war and twelve months thereafter unless the consent of the Treasury has been previously obtained.

Costs of Act.

15. All costs charges and expenses of or incidental to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company.

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